

bank's foreign exchange sales to stem the slide. A view gained currency that the RBI should have let it slide and not have sold a speculated \$70 billion. After all, the new US President's world view was something that had to be dealt with. Then again, it has been the central bank's long held view that it does not target a specific level for the rupee. So why defend the rupee by blowing precious forex?

Of course, there was a counter view that having linked the rupee's value to national pride, could the RBI have let the rupee find its level? After all, the rupee has moved to its current level from around 63 to the dollar a decade ago. And if this, indeed, was to be the case, it would have meant higher imported inflation, which in turn, would have delayed repo rate cuts. The logic was simple: you can't have a weaker rupee and lower interest rates.

THE LIQUIDITY CRUNCH

The RBI's dollar sales also brought another talking point into the picture: that it led to a tightening in rupee liquidity. This is not entirely true.

After remaining in surplus from July to November 2024, system liquidity—as measured by the average net position under the liquidity adjustment facility (LAF)—turned into deficit during December 2024 and January 2025. This is mainly attributed to advance tax payments in December 2024, capital outflows, forex operations, and a significant pickup in currency in circulation this January.

It is also misleading to pin the drainage of liquidity solely on the central bank's dollar sales—every dollar sold sucks out an equivalent amount in rupees, and vice-versa. And the RBI Annual Report (FY25) details the developments that lead to the squeeze. Surplus liquidity moderated from August 12, 2023, following the imposition of the incremental-cash reserve ratio (I-CRR), a monetary policy tool to manage liquidity in the system, which resulted in around ₹1.1 lakh crore moving out from the banking system. Then, the build-up of government cash balances due to advance tax collections and GST payments further tightened liquidity conditions. The average net liquidity adjustment facility slipped into deficit in September for the first time since May 2019.

Consequently, the average net LAF absorption moderated to ₹89,000 crore in Q2FY24 from ₹1.26 lakh crore in Q1. Liquidity turned into deficit with average net LAF injection of ₹76,000 crore in Q3, driven by festival related currency outgo in October-November and build-up of government cash balances due to advance tax and GST payments in December 2023. Net LAF injection averaged ₹1.36 lakh crore in Q4,

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with injections narrowing considerably in March 2024 from January-February.

Then the return-leg of the dollar-rupee sell-buy swap auction for \$5 billion on March 8, 2022, also injected liquidity of ₹42,800 crore on March 11, 2024. In Q4, the central bank injected liquidity through six main and 19 fine-tuning variable rate repo operations.

WHAT NOW?

The bigger picture is as follows: the rupee will continue to gyrate. If the war between Russia and Ukraine ends, and sanctions are lifted on Russia, that may lead to the end of cheap oil supplies from that country months down the line. Will that show up in higher oil price-linked inflation and impact interest rates movements? That needs to be watched closely.

The RBI's recent decision to cut the policy repo rate by 25 basis point to 6.25%—the first in five years—has not led to lending rate cuts by banks as their cost of funds will take time to go down. Higher provisioning for bad loans in some sectors, especially in unsecured retail credit means the headroom for lending rate cuts is narrower. Plus, the growth in deposits has just about managed to keep up with credit growth with the credit-deposit ratio of banks easing off 80 thereabouts. If, as a result of the repo rate cut, bank deposits were also to fall, then the CD ratio gets affected more. Besides, as stated earlier, the rate cut and the rupee's depreciation cannot go together. When a currency is on the slide, it becomes costlier to buy the dollar. And the dollar does not get cheaper when interest rates are cut.

So, what is in store for the rupee?

The RBI may go easy on the rupee and give priority to domestic issues like other central banks. The fuss over the rupee's level should end. **BT**